SABLE HARBOR

SABLE HARBOR — ENTERPRISE AUTHORITY, CAPITAL, AND EXECUTIVE RHYTHM

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1. Authority architecture

Sable Harbor uses **vertical authority, horizontal expertise, and shared foundations**.

• Board and CEO hold enterprise authority as defined by governance instruments.

• Businesses own strategy and execution within delegated boundaries.

• Operating units own real operating decisions where responsibility sits.

• Individuals exercise ordinary judgment inside their authority.

• Corporate functions set standards, develop professions, and provide assurance/challenge where authorized; they do not become shadow operating chains.

Dotted lines do not decide. When a conflict arises, identify the type of decision rather than negotiating a matrix:

• operating decision → business/operating authority;

• professional or enterprise standard → functional standard authority;

• reserved enterprise matter → defined enterprise/Board authority.

2. Decision doctrine

Consequential decisions have one accountable owner. Consultation may be broad; accountability is singular. Being in the room does not create co-ownership.

Default to judgment. Sable Harbor trains judgment as a core capability and reviews decision quality against what was reasonably knowable at the time, not merely the eventual outcome.

Documentation is triggered by stakes, not habit. Routine low-consequence decisions need no ritual record. Consequential decisions should preserve enough to remain legible: owner, material evidence, serious alternatives, material dissent, reasoning, and what would trigger reconsideration.

Autonomy does not require justification; restrictions on autonomy do.

Meetings are expensive. Default to no meeting when asynchronous work, a short decision note, or a direct call will do. A meeting should have a concrete synchronous purpose, an owner, and a reason each participant needs to be there.

3. Capital allocation

Businesses receive real local authority inside clear capital envelopes. Corporate controls surplus/incremental capital allocation across the portfolio.

Capital rhythm:

• **continuous** — normal local investment inside delegated authority; exceptional opportunities may surface at any time;

• **quarterly** — businesses update forward capital outlooks and material changes;

• **annual** — corporate compares opportunities across businesses and reallocates incremental capital;

• **extraordinary/ad hoc** — transformative matters are heard when they exist rather than waiting for an artificial calendar gate.

There is no use-it-or-lose-it budgeting. Returning unused capital is evidence of judgment. Capital follows durable opportunity, not history, politics, organization size, or the business that generated the cash.

4. Planning and performance

Forecasts are estimates, not promises. Honest forecast changes are not punished merely for changing.

• shared data provides continuous visibility without repeated information requests;

• there is no mandatory monthly corporate theater;

• material exceptions trigger dialogue immediately;

• quarterly business reviews are real conversations, not slide walks;

• corporate common measures are primarily economic/enterprise measures; operating measures remain business-specific;

• annual work is a deep strategy and capital review rather than a ritual budget negotiation;

• bad news travels immediately;

• performance evaluates actual results and decision quality, not forecast sandbagging.

5. Executive architecture — three rings

Ring 1 — Authority Core

A very small enterprise authority group that can assemble rapidly when Sable Harbor must decide or act at the center. Its size serves speed and decision rights, not representation.

Ring 2 — Enterprise Staff / Information Network

A broad NVIDIA-like ring, roughly 20–40 participants as warranted by information value. Business presidents and material functional/institutional leaders participate because they improve enterprise information symmetry and challenge, not because every office is entitled to a cabinet seat.

Ring 3 — Issue Rooms

Temporary Toyota-like rooms form around consequential problems. One owner. Bring the people with the material knowledge directly into the room. Dissolve the room when the problem is resolved.

The person closest to the problem has an unfiltered voice even when they do not own the decision. **Hierarchy sets accountability, not epistemology.**

J2 supports common context across the rings—what is known, changed, assumed, disputed, and uncertain—but J2 does not own executive decisions.

6. Information flow

Default open inside Sable Harbor where responsible disclosure permits. Restriction follows the nature of information and real obligation, not rank.

Authority Core receives decision-ready context. Enterprise Staff receives broad enterprise context. Issue Rooms receive depth. Relevant expertise may be pulled directly across formal hierarchy. Material information may reach J2 outside the management chain when a person reasonably believes ordinary hierarchy is filtering or distorting it.

7. Professional practices

Functions own the profession; businesses own the work.

Practice leaders are conveners and stewards, not shadow executives. Corporate functions may own standards, qualification, professional development, assurance/challenge, and shared methods. They do not gain default day-to-day operating authority over business teams.

People belong simultaneously to their business, their profession, and Sable Harbor. This tri-belonging supports mobility and knowledge transfer without creating dual decision accountability.

8. Portfolio architecture

Default structural hierarchy: **Sable Harbor → business → operating unit.** No operating-group layer is created merely for symmetry or span-of-control fashion.

A product/project becomes a business only when it has coherent market/economic logic, genuine leadership capacity, and enough permanence that autonomous management improves decisions.

Business presidents run their businesses end-to-end within enterprise boundaries. Corporate exists to make businesses stronger, not to recreate their functions at headquarters.

Acquisitions have three legitimate paths: integrate into an existing business; operate as a business; or incubate deliberately for learning with explicit intent. Long-duration ownership is preferred, but long duration is not eternity.

9. Management-system boundary

The Sable Harbor Management System is now LOCKED under the September 3 closeout. It supplies the ten-principle management doctrine beneath this authority architecture. The earlier next-workstream description is superseded; issue #87 is closed.

10. Deferred topics

Detailed failing-business intervention doctrine and organic new-business formation/incubation doctrine are deliberately deferred.